

JUL 6 1995

CLERK

(12)

No. 94-1140

In The
Supreme Court of the United States
October Term, 1995

44 LIQUORMART, INC. and
PEOPLES SUPER LIQUOR STORES, INC.,
Petitioners,

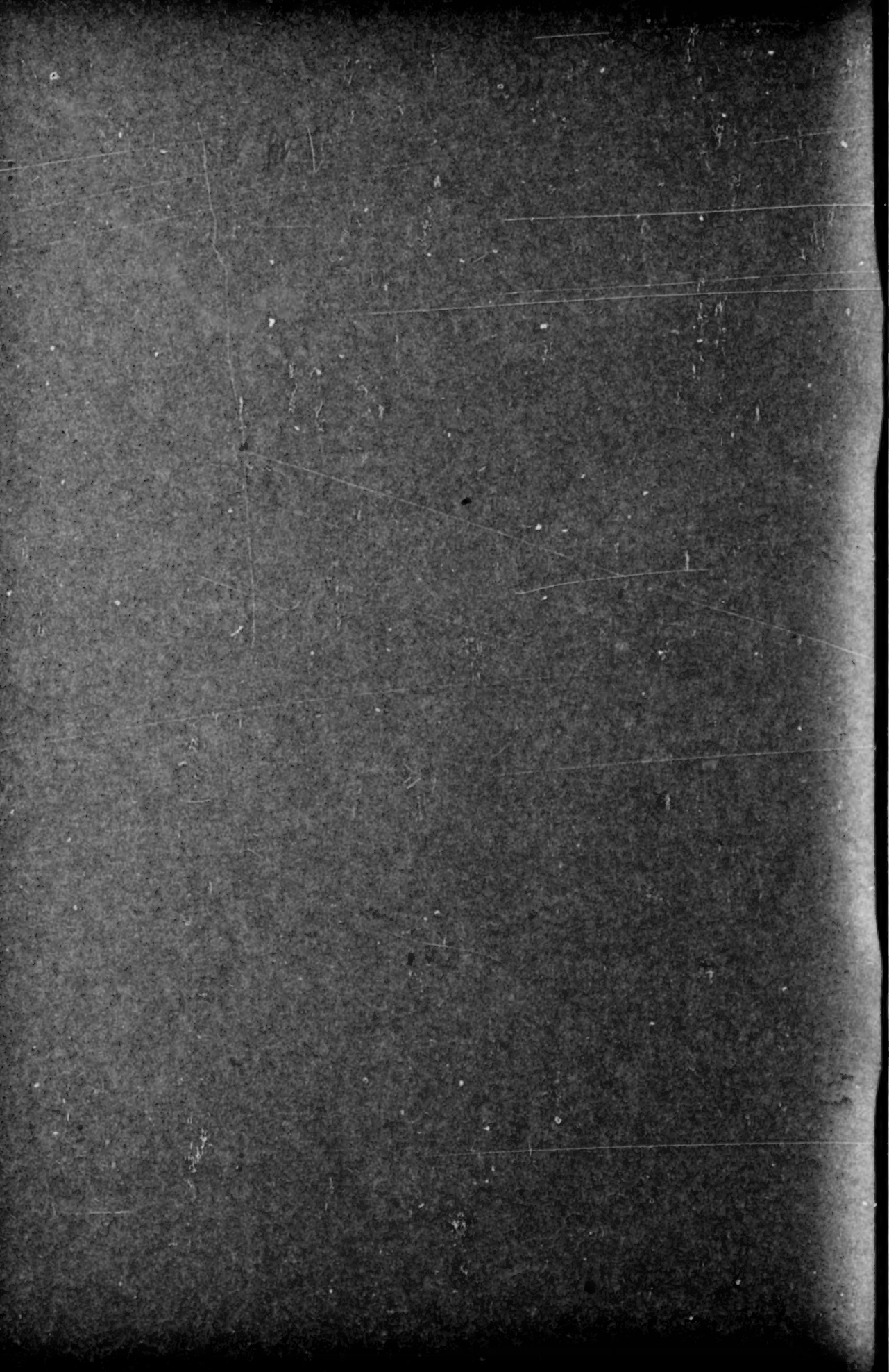
v.

STATE OF RHODE ISLAND, and
RHODE ISLAND LIQUOR STORES ASSOCIATION,
Respondents.

On Writ Of Certiorari
To The United States Court Of Appeals
For The First Circuit

BRIEF FOR PETITIONERS

EVAN T. LAWSON
LAWSON & WEITZEN
425 Summer Street
Boston, Ma. 02210
(617) 439-4990



QUESTION PRESENTED

1. Whether Rhode Island may, consistent with the First Amendment, prohibit truthful, non-misleading price advertising regarding alcoholic beverages?

TABLE OF CONTENTS

	Page
Question Presented	i
Table of Authorities	iv
Cases	iv
Statutes and Rules.....	vi
Miscellaneous	vi
Opinions Below	1
Basis For Jurisdiction.....	2
Statutes Involved.....	2
Statement of the Case	3
Procedural History	3
Facts.....	5
Summary of Argument	9
Argument	11
A. Truthful, Non-misleading Price Advertising Is Protected By The First Amendment. The Court Of Appeals Erred In Upholding Rhode Island's Prohibition On Price Advertising Without Proof By The State That The Ban Directly And Materially Advances The State's Asserted Interest In Reducing Abuse Of Alcoholic Beverages	11
B. Rhode Island's Ban On Truthful, Non-misleading Price Advertising Does Not Directly Advance Its Professed Interest In Reducing Abuse Of Alcoholic Beverages To A Material Degree, Thereby Failing The Third Part Of The <i>Central Hudson</i> Test.....	14

TABLE OF CONTENTS – Continued

	Page
C. Rhode Island's Ban On Advertising The Price At Which Retailers Sell Alcoholic Beverages Is More Extensive Than Necessary To Serve The State's Asserted Interest In Reducing Abuse of Alcoholic Beverages	22
D. Rhode Island May Not Ban Truthful, Non-Misleading Price Advertising By Out-Of-State Retailers Of Alcoholic Beverages.....	24
E. The Twenty-first Amendment Does Not Give An Added Presumption Of Validity To Rhode Island's Ban On Truthful, Non-Misleading Price Advertising Of Alcoholic Beverages	26
Conclusion	32

TABLE OF AUTHORITIES

	Page
CASES	
324 <i>Liquor Corp. v. Duffy</i> , 479 U.S. 335 (1987).....	18, 28
44 <i>Liquormart, Inc. v. Racine</i> , 829 F. Supp. 543 (D.R.I. 1993).....	passim
44 <i>Liquormart, Inc. v. State of Rhode Island</i> , 39 F.3d 5 (1st Cir. 1994).....	passim
<i>Bacchus Importer Ltd. v. Dias</i> , 468 U.S. 263 (1984)	28
<i>Bates v. State Bar of Arizona</i> , 433 U.S. 350 (1977).....	11
<i>Bigelow v. Virginia</i> , 421 U.S. 809 (1975)	26
<i>Board of Trustees of State Univ. of New York v. Fox</i> , 492 U.S. 469 (1989)	22
<i>Brown-Forman Distillers Corporation v. New York State Liquor Authority</i> , 476 U.S. 573 (1986).....	28
<i>California Retail Liquor Dealer's Ass'n v. Midcal Alu- minum, Inc.</i> , 445 U.S. 97 (1980).....	28
<i>California v. LaRue</i> , 409 U.S. 109 (1972)	26, 30
<i>Capital Cities Cable, Inc. v. Crisp</i> , 467 U.S. 691 (1984)	29
<i>Central Hudson Gas & Electric Corp. v. Public Service Commission of New York</i> , 447 U.S. 557 (1980)...	passim
<i>City of Newport, Kentucky v. Iacobucci</i> , 479 U.S. 92 (1986)	27
<i>Craig v. Boren</i> , 429 U.S. 190 (1976)	27, 28
<i>Dept. of Revenue v. James B. Beam Distilling Co.</i> , 377 U.S. 341 (1964)	28
<i>Doran v. Salem Inn, Inc.</i> , 422 U.S. 922 (1975).....	30
<i>Edenfield v. Fane</i> , ___ U.S. ___, 113 S. Ct. 1792 (1993)	11, 14, 16, 22, 24

TABLE OF AUTHORITIES – Continued

	Page
<i>Healy v. The Beer Institute</i> , 491 U.S. 324 (1989).....	28
<i>Ibanez v. Florida Dept. of Business and Professional Regulation</i> , ___ U.S. ___, 114 S. Ct. 2084 (1994)	12, 14, 16
<i>Joseph E. Seagram & Sons v. Hostetter</i> , 16 N.Y.2d 47 (1965).....	19
<i>Larkin v. Grendel's Den, Inc.</i> , 459 U.S. 116 (1982).....	29
<i>Lee v. Weisman</i> , 505 U.S. 577, 112 S. Ct. 2649 (1992).....	29
<i>Michigan Beer & Wine Wholesalers Association v. Attorney General</i> , 142 Mich. App. 294, 370 N.W.2d 328 (Mich. Ct. App. 1985), <i>cert. den.</i> 479 U.S. 939 (1986).....	18
<i>New York State Liquor Authority v. Bellanca</i> , 452 U.S. 714 (1981).....	30
<i>Pennsylvania R. Co. v. Chamberlain</i> , 288 U.S. 333 (1933).....	14
<i>Rhode Island Liquor Stores Ass'n v. Evening Call Pub. Co.</i> , 497 A.2d 331 (R.I. 1985).....	5, 8
<i>Rice v. Alcoholic Beverage Control Appeals Bd.</i> , 579 P.2d 476 (Cal. 1978).....	18
<i>Rubin v. Coors Brewing Co.</i> , ___ U.S. ___, 115 S. Ct. 1585 (1995).....	<i>passim</i>
<i>S & S Liquormart, Inc. v. Pastore</i> , 497 A.2d 729 (R.I. 1985).....	5
<i>South Dakota v. Dole</i> , 483 U.S. 203 (1987).....	28
<i>Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.</i> , 425 U.S. 748 (1976)....	<i>passim</i>
<i>Wisconsin v. Constantineau</i> , 400 U.S. 433 (1971).....	28

TABLE OF AUTHORITIES – Continued

Page

STATUTES AND RULES

28 U.S.C. § 1254.....	2
28 U.S.C. § 1331.....	3
42 U.S.C. § 1983.....	3
Regulation 32 of the Rhode Island Liquor Control Administration	3
Rhode Island General Laws § 3-8-7	2, 3, 6
Rhode Island General Laws § 3-8-8.1.....	2, 3, 6
United States Constitution, Amendment I	<i>passim</i>
United States Constitution, Amendment XXI, § 2 ...	<i>passim</i>

MISCELLANEOUS

M. J. Waterson, ADVERTISING BRANDS AND MARKETS (Advertising Ass'n Monograph, 2nd ed. 1985).....	20
New York State Moreland Commission on the Alcoholic Beverage Control Law, REPORT AND RECOMMENDATIONS No. 3, January 21, 1964	18

No. 94-1140

In The
Supreme Court of the United States
October Term, 1995

44 LIQUORMART, INC. and
PEOPLES SUPER LIQUOR STORES, INC.,
Petitioners,

v.

STATE OF RHODE ISLAND, and
RHODE ISLAND LIQUOR STORES ASSOCIATION,
Respondents.

On Writ Of Certiorari
To The United States Court Of Appeals
For The First Circuit

BRIEF FOR PETITIONERS

Opinions Below

1. 44 *Liquormart, Inc. v. Racine*, 829 F. Supp. 543 (D.R.I. 1993).¹

2. 44 *Liquormart, Inc. v. State of Rhode Island*, 39 F.3d 5 (1st Cir. 1994).²

¹ The decision is reproduced in the Appendix to the petition for a writ of certiorari (App.) at 17-47.

² The decision is reproduced at App. 1-12.

Basis For Jurisdiction

The judgment of the United States Court of Appeals for the First Circuit was entered on October 24, 1994. This Court granted the petition for a writ of certiorari on May 1, 1995. Jurisdiction is conferred by 28 U.S.C. § 1254.

Statutes Involved

United States Constitution, Amendment I:

Congress shall make no law respecting an establishment of religion, or prohibiting the free exercise thereof; or abridging the freedom of speech, or of the press; or the right of the people peaceably to assemble, and to petition the Government for a redress of grievances.

United States Constitution, Amendment XXI, § 2:

The transportation or importation into any State, Territory, or possession of the United States for delivery or use therein of intoxicating liquors, in violation of the laws thereof, is hereby prohibited.

Rhode Island General Laws §§ 3-8-7 and 3-8-8.1 and Regulation 32 of the Rhode Island Liquor Control Administration.³

³ The text of the statutes and regulation is set forth in the Statutory Addendum.

Statement of the Case

Procedural History

This is an action by 44 Liquormart, Inc., a Rhode Island liquor store operator (44 Liquormart), and Peoples Super Liquors, Inc., a Massachusetts liquor store operator (Peoples), originally brought against the Rhode Island Liquor Control Administrator (the Liquor Control Administrator), for a determination that R.I.G.L. §§ 3-8-7 and 3-8-8.1 and Regulation 32 of the Rhode Island Liquor Control Administration, which ban advertising the price of alcoholic beverages within the State of Rhode Island, deny the petitioners their constitutional right to freedom of speech and deny the citizens of Rhode Island their constitutional right to obtain accurate price information about lawful products (J.A. 28-37). Jurisdiction in the United States District Court is based upon 28 U.S.C. § 1331 (federal question) and 42 U.S.C. § 1983 (deprivation of federal constitutional rights under color of state law). The Rhode Island Liquor Stores Association (RILSA) was permitted to intervene over the plaintiffs' objection to protect its members' interest in restricting

competition (J.A. 3).⁴ Later the State of Rhode Island was substituted for the Liquor Control Administrator as a party defendant (J.A. 11).

After trial on the merits, including taking testimony of expert witnesses for both sides, the District Court applied the standard set forth in *Central Hudson Gas & Electric Corp. v. Public Service Commission of New York*, 447 U.S. 557 (1980) to the facts found, and entered a judgment that the price advertising ban was unconstitutional. 44 *Liquormart, Inc. v. Racine*, *supra*. The State and RILSA appealed to the United States Court of Appeals for the First Circuit (J.A. 10, 11).

On May 2, 1994, the Court of Appeals affirmed the District Court's ruling as to out-of-state retailers, but reversed as to Rhode Island retailers (J.A. 16). Both sides filed petitions for rehearing with suggestions for rehearing *en banc* (J.A. 16). On July 8, 1994, the panel ordered the May 2 opinion withdrawn and issued a "not for publication" amended opinion that reached the same result as the earlier opinion (J.A. 17). The court "ordered that either party may file a petition for rehearing with a suggestion for rehearing *en banc* by July 22, 1994" (J.A.

⁴ In its memorandum in support of its motion to intervene, at page 2, the Rhode Island Liquor Stores Association stated its interest: "The overwhelming majority of the Class A Retailers in the State of Rhode Island operate at a marginal profit. The elimination of the prohibition on advertising of liquor sales would, of necessity, add an additional financial burden to each of the Class A Retailers who would be obliged to participate in the advertising arena and would be at a definite disadvantage when matched up against retailers who hold multiple licenses" (J.A. 43).

17). Both sides did so. (J.A. 25-26). On July 29, 1994, the Court of Appeals denied 44 Liquormart's petition for rehearing, but took no action on those of Rhode Island and RILSA (J.A. 18). On October 24, 1994, the Court of Appeals entered a judgment reversing the decision of the District Court in its entirety. 44 *Liquormart, Inc. v. State of R.I.*, *supra*.

Facts

44 Liquormart operates a retail store for the sale of alcoholic beverages for consumption off the premises in Johnston, Rhode Island. Peoples operates retail stores for the sale of alcoholic beverages for consumption off the premises in New Bedford and Fairhaven, Massachusetts. The Liquor Control Administrator is charged with enforcing Rhode Island's laws and regulations governing the sale of alcoholic beverages. 44 *Liquormart, Inc. v. Racine*, *supra*, 829 F. Supp. at 544 (App. 20).

Rhode Island permits all advertising relating to alcoholic beverages, except that it forbids any reference to price outside licensed retail premises and prohibits Rhode Island communications media from accepting any advertisements that contain any reference to price in other states as well as Rhode Island. *Ibid*. The Rhode Island Supreme Court has upheld the ban against First Amendment challenges by a Rhode Island retailer seeking a declaratory judgement that it could advertise prices, *S & S Liquormart, Inc. v. Pastore*, 497 A.2d 729 (R.I. 1985), and a Rhode Island newspaper that was enjoined from publishing out-of-state price advertisements. *Rhode Island Liquor Stores Ass'n v. Evening Call Pub. Co.*, 497 A.2d 331

(R.I. 1985).⁵ The Liquor Control Administrator vigorously enforces the price advertising ban. The ban on price advertising has been interpreted to go beyond stating the price at which a product is offered for sale. The Liquor Control Administrator has found that the price advertising ban prohibits use of the word "sale" in alcoholic beverages advertisements and that use of the word "wow" when juxtaposed with a reference to a particular item of alcoholic beverages in an advertisement also violates the statute and regulation. On December 17, 1991, the Liquor Control Administrator found 44 Liquormart in violation of R.I.G.L. §§ 3-8-7 and 3-8-8.1 and Regulation 32. She imposed a fine for publishing advertisements containing the words "wow" and "sale" in a newspaper even though the advertisements did not state the price at which any product was offered for sale.⁶

Other liquor licensees, as well as newspapers within Rhode Island, have been warned and fined for violation of the price advertising ban. *Ibid.*

Peoples, a Massachusetts retailer, has made extensive use of price advertising in Massachusetts where it is

⁵ In both of those cases, over dissent, the Rhode Island Supreme Court relied upon the Twenty-first Amendment to shift the burden of proof to the party challenging the price advertising ban.

⁶ 44 Liquormart's advertisement appears at J.A. 49. The hearing before the Liquor Control Administrator is set forth at J.A. 51-66. At the hearing the Administrator suggested that she did not think it would be permissible for "a license holder to publish ads requesting that people join a movement to change the law" (J.A. 57).

permitted. Peoples has attempted to place its advertisements, which include price information, in Rhode Island communications media, but has been refused because of the Rhode Island statute. Rhode Island communications media reach both Rhode Island and Massachusetts citizens. *Ibid.*

Both 44 Liquormart and Peoples desire to advertise the prices at which they offer alcoholic beverages for sale in Rhode Island communications media. Their proposed price advertising does not concern an illegal activity and presumably would not be false or misleading. *Ibid.*

Rhode Island justifies its ban on price advertising solely as "promoting temperance." The Attorney General explained on the record below that the State was not concerned with "responsible drinkers," but with reducing the availability of alcoholic beverages to persons of limited incomes who might abuse them (J.A. 67). The State's theory is that price advertising may stimulate "price wars" which the State believes might lower a theoretical "artificial price floor" that may result from the public's ignorance of retail prices. The State conjectures that lower prices will lead to more abusive consumption, but it was unable to prove any such connection. Its only witness could not say how much lower prices might go if the advertising ban was not in place, or even what an optimal price might be. He did not know Rhode Island's current price structure or the prices in neighboring states. 44 *Liquormart, Inc. v. Racine, supra*, 829 F. Supp. at 549 (R., Saffer Tr. 43-49).

There are no scientific studies that show banning price advertising has any direct effect upon consumption.

44 *Liquormart, Inc. v. Racine*, *supra*, 829 F. Supp. at 546 (App. 22). In 1985 the Federal Trade Commission found that there is no reliable basis on which to conclude that any alcohol advertising significantly affects alcohol abuse, and that there is no basis for concluding that banning or otherwise limiting advertising would offer significant protection to the public. *Ibid.*

Even if the State's purpose was reducing consumption *vel non*,⁷ consumption of alcoholic beverages is affected by factors such as religion, ethnic background, family makeup and peer pressure that are more important in determining the amount of alcohol consumed than the presence or absence of price advertising. Indeed, per capita consumption in Rhode Island is higher than in some states that permit price advertising. According to the latest statistics, Rhode Island ranked in the upper 30 percent of the states in total per capita consumption. *Ibid.* No evidence was presented as to where Rhode Island ranked in abusive consumption.

After hearing all the evidence, the District Court found that Rhode Island's off-premises price advertising ban has had no material impact on levels of alcohol

⁷ At various points in its decisions upholding the price advertising ban the Rhode Island Supreme Court referred to the State's temperance interest as "reducing the consumption of liquor," "alcoholic moderation or abstinence," *S & S Liquor Mart, Inc. v. Pastore*, *supra*, 497 A.2d at 734, reducing "excessive drinking," *Id.* at 737-738, and discouraging "tipplers from tippling more intoxicants." *Rhode Island Liquor Stores Ass'n v. Evening Call Pub. Co.*, *supra*, 497 A.2d at 336. It seems clear that according to both the State's highest court and its Attorney General, its interest is in preventing abusive consumption.

consumption in Rhode Island. 44 *Liquormart, Inc. v. Racine*, *supra*, 829 F. Supp. at 549 (App. 31).

Summary of Argument

Truthful, non-misleading price advertising has been specifically entitled to First Amendment protection since 1976 when the Court held that it was "indispensable" to the preservation of our free enterprise economy. *Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 765 (1976). If truthful, non-misleading price advertising may be restricted at all, the state must prove that its restriction satisfies the four part test established by *Central Hudson Gas & Electric Corp. v. Public Service Commission of New York*, *supra*.

The primary focus of this case is on the last two parts of the *Central Hudson* analysis. Rhode Island is required to prove that its ban on truthful, non-misleading price advertising directly advances its asserted interest in discouraging abusive consumption of alcoholic beverages and is not a more extensive restriction on speech than necessary to serve that interest. The State's theory was that denying consumers truthful price information, would inhibit its retailers from engaging in price wars and thereby make alcoholic beverages more expensive for all consumers, discouraging abusive consumption by some consumers. The State failed the third part of the *Central Hudson* test because it could not produce any evidence that its ban on speech had any effect on abusive consumption. Indeed, the District Court found that the

ban "has no significant impact on levels of alcohol consumption in Rhode Island." 44 *Liquormart, Inc. v. Racine*, *supra*, 829 F. Supp. at 549 (App. 31). Furthermore, the State failed the final part of the *Central Hudson* test since it could have accomplished its purpose without restricting speech at all, by setting minimum prices or raising alcohol taxes. In the case of Rhode Island's ban on newspapers accepting truthful, non-misleading price advertisements from out-of-state retailers, the State's asserted interest disappears and its failure of proof is even more obvious.

In reversing the District Court's judgment, the Court of Appeals jettisoned the requirement that the burden of proof under *Central Hudson* rests on the State. It did not find that the State had carried the burden of proof. Instead the Court of Appeals found the evidence went "both ways," improperly shifted the burden to the petitioners and concluded that the petitioners had failed to show that Rhode Island's price advertising ban did not satisfy *Central Hudson*.

In addition to erroneously reading the allocation of the burden of proof under *Central Hudson*, the Court of Appeals gave the State the benefit of an "added presumption of validity" because of the Twenty-first Amendment. In so doing, the Court of Appeals again improperly shifted the burden of proof to the petitioners. This Court disaffirmed any implication that the Twenty-first Amendment gives the State any added weight in the *Central Hudson* analysis in *Rubin v. Coors Brewing Co.*, ___ U.S. ___, 115 S. Ct. 1585, 1589-1590, n.2 (1995). This case is a logical extension of *Rubin*. The Court should clearly

establish that the Twenty-first Amendment does not diminish the force of the First Amendment.

Argument

A. Truthful, Non-misleading Price Advertising Is Protected By The First Amendment. The Court Of Appeals Erred In Upholding Rhode Island's Prohibition On Price Advertising Without Proof By The State That The Ban Directly And Materially Advances The State's Asserted Interest In Reducing Abuse Of Alcoholic Beverages.

For almost twenty years the Court has required that governmental attempts to regulate advertising be weighed against "the right of the speaker and the audience, not the government, to assess the value of the information presented." *Edenfield v. Fane*, ___ U.S. ___, 113 S. Ct. 1792, 1798 (1993). In 1976, the Court declared that First Amendment protection for truthful, non-misleading price advertising was required because "the free flow of commercial information is *indispensable*" to the multitude of "private economic decisions" which are essential to the preservation of a "predominantly free enterprise economy." *Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, 425 U.S. 748, 765 (1976) [emphasis added].

The Court has never strayed from the holding that truthful, non-misleading price advertising is protected under the First Amendment. *See, e.g., Bates v. State Bar of Arizona*, 433 U.S. 350 (1977). Nor has the Court retreated from the requirement that the government must prove

the validity of its restrictions on commercial speech. Indeed, before the final decision of the Court of Appeals below was announced, this Court reemphasized that "only commercial speech that is false, deceptive or misleading can be banned," while "[c]ommercial speech that is not false, deceptive, or misleading can be restricted, but only if the state shows that the restriction directly and materially advances a substantial state interest in a manner no more extensive than necessary to serve that interest." *Ibanez v. Florida Dept. of Business and Professional Regulation*, ___ U.S. ___, 114 S. Ct. 2084, 2088 (1994). The Court pointedly cautioned against deferring to the state's regulatory process by highlighting the state's substantial burden of justifying its restrictions on commercial speech.

The State's burden is not slight; the "free flow of commercial information is valuable enough to justify imposing on would-be regulators the costs of distinguishing the truthful from the false, the helpful from the misleading, and the harmless from the harmful." *Zauderer, supra*, 471 U.S., at 646, 105 S. Ct., at 2279. "[M]ere speculation or conjecture" will not suffice; rather the State "must demonstrate that the harms it recites are real and that its restriction will in fact alleviate them to a material degree." *Edenfield, supra*, at ___, 113 S. Ct., at 1800; see also *Zauderer, supra*, 471 U.S., at 648-649, 105 S. Ct., at 2280-2281 (State's "unsupported assertions" insufficient to justify prohibition on attorney advertising; "broad prophylactic rules may not be so lightly justified if the protections afforded commercial speech are to retain their force"). 114 S. Ct. at 2089.

Just last term, the Court returned to *Virginia State Board of Pharmacy* in striking down a federal prohibition on truthfully stating the alcoholic content of beer on its labels. *Rubin v. Coors Brewing Co.*, ___ U.S. ___, 115 S. Ct. 1585, 1589 (1995). Sweeping aside the government's contention that restrictions on commercial speech concerning alcoholic beverages should be accorded especially deferential treatment, the Court prescribed that, just like all other categories of advertising, alcoholic beverage advertising may only be constitutionally regulated according to the four part test for determining the constitutionality of governmental restrictions on commercial speech enunciated in *Central Hudson Gas & Electric Corp. v. Public Service Commission of New York*, *supra*. *Id.*

The Court of Appeals below disregarded the standard established by *Central Hudson* and steadfastly maintained by this Court's subsequent rulings on commercial speech. It reversed because it found the evidence went "both ways," the District Court was, in its view, not "free to choose" and so the legislative judgment of Rhode Island must prevail.⁸ 44 *Liquor Mart, Inc. v. State of Rhode Island*, *supra*, 39 F.3d at 7 (App. 6). But, since Rhode Island had the burden of proof, even if the Court of Appeals believed the evidence went "both ways" the District Court correctly found that the State failed to carry its burden.

We, therefore, have a case belonging to that class of cases where proven facts give equal

⁸ While the meaning the Court of Appeals intended to convey by saying the evidence went "both ways" is somewhat obscure, it surely cannot mean that the State had proved its case.

support to each of two inconsistent inferences; in which event, neither of them being established, judgment, as a matter of law, must go against the party upon whom rests the necessity of sustaining one of these inferences as against the other, before he is entitled to recover. *Pennsylvania R. Co. v. Chamberlain*, 288 U.S. 333, 339 (1933).

Therefore, the Court of Appeals erred by deferring to the State's asserted justification. It yielded to the State's goal to keep its citizens ignorant of truthful price information to covertly manipulate consumer choice instead of requiring the State to prove that the regulation would materially and directly advance the asserted state interest in temperance. The Court of Appeals' failure to hold the State to its burden of proof is particularly egregious in this First Amendment case because of the clarity with which this Court's recent cases have described it. *See, e.g., Ibanez v. Florida Dept. of Business and Professional Regulation, supra; Edenfield v. Fane, supra; Rubin v. Coors Brewing Co., supra.*

B. Rhode Island's Ban On Truthful, Non-misleading Price Advertising Does Not Directly Advance Its Professed Interest In Reducing Abuse Of Alcoholic Beverages To A Material Degree, Thereby Failing The Third Part Of The Central Hudson Test.

Central Hudson Gas & Electric Corp. v. Public Service Commission of New York, supra, establishes a four part test for determining the constitutionality of governmental restrictions on commercial speech:

[First] it at least must concern lawful activity and not be misleading. Next, we ask whether the asserted governmental interest is substantial. If both inquiries yield positive answers, we must determine whether the regulation directly advances the governmental interest asserted, and whether it is not more extensive than is necessary to serve that interest. 447 U.S. at 566.

It is stipulated that advertising the price at which 44 Liquormart and Peoples sell their products relates to a lawful activity and is not false or misleading (J.A. 47). Accordingly, such information is generally protected under the first part of the *Central Hudson* test and specifically protected by *Virginia State Board of Pharmacy* and its progeny. The parties agree that Rhode Island has a substantial interest in regulating the sale of alcoholic beverages (J.A. 47), but that generalization can not support its restriction on commercial speech. Thus, the outcome of this case turns upon whether the State's asserted interest in "temperance," defined by the Attorney General in the District Court as an interest in discouraging irresponsible consumption by people of limited means (J.A. 67), produces a result at odds with *Virginia State Board of Pharmacy* when evaluated under the last two parts of the *Central Hudson* test.

Under *Central Hudson* the government must prove an "immediate connection" between the government's asserted interest and the prohibition on speech. If the connection is "tenuous" or "highly speculative" the prohibition is invalid. 447 U.S. at 569. A prohibition on commercial speech is not valid if it provides only "ineffective or remote support for the government's purpose."

447 U.S. at 564. The Court has strongly reiterated the government's burden of proof in *Edenfield v. Fane*, *supra*, *Ibanez*, *supra*, and, most recently, in *Rubin v. Coors Brewing Co.*, *supra*, stressing that "this requirement was critical." 115 S. Ct. at 1592.

The essence of the Court of Appeals' reason for permitting Rhode Island to stifle "the free flow of commercial information," to all its citizens, temperate and intemperate, and the essence of its misapprehension of the decisions of this Court, is in its holding that the District Court could not find the statute unconstitutional "in the absence of any affirmative contradiction [to the State's hypothesis] to rely on." 44 *Liquormart, Inc. v. State of Rhode Island*, *supra*, 39 F.3d at 8 (App. 7-8). Consequently, the Court of Appeals only required the State to articulate a theory which the petitioners were made to refute. Not only did the State fail to carry its burden to prove that the restriction promoted its interest in preventing abusive consumption "to a material degree," *Edenfield v. Fane*, *supra*, 113 S. Ct. at 1803, quoted in *Ibanez*, *supra*, 114 S. Ct. at 2089 [emphasis added], the petitioners' evidence convinced the District Court in its role as fact finder, that "Rhode Island's off-premises liquor price advertising ban has no significant impact on levels of alcohol consumption in Rhode Island." 44 *Liquormart, Inc. v. Racine*, *supra*, at 549, (App. 31).

The Court of Appeals acknowledged that there is no record evidence to support the conclusion that Rhode Island's price advertising ban has materially advanced its asserted goal. 44 *Liquormart v. Rhode Island*, *supra*, 39 F.3d at 7 (App. 6). Moreover, the hypothesis that the price advertising ban might have such an effect is refuted by

the fact that Rhode Island was in the top 30 percent of states in per capita consumption with the ban in place. 44 *Liquormart, Inc. v. Racine, supra*, at 546 (App. 23). The State presented no evidence of where Rhode Island might stand in abusive drinking. Both the State and RILSA respond to Rhode Island's high ranking in per capita consumption by lamely questioning "where Rhode Island would be *without* the advertising ban." Rhode Island's Brief In Opposition To Petition For Certiorari, 19; RILSA's Brief In Opposition To Petition For Certiorari, 18. Significantly, they posed the question without answering it, thereby displaying the State's failure of proof.⁹

The Court of Appeals disregarded the district judge's finding of fact that the price advertising ban has had no significant impact on levels of alcohol consumption in Rhode Island because it thought the State's position had "inherent merit." 44 *Liquor Mart, Inc. v. State of Rhode Island, supra*, 39 F.3rd at 7 (App. 7). It thereby relieved the State of its constitutional burden with no more than a hypothesis that does not fit the facts. Rhode Island's standing in per capita alcohol consumption shows that whatever merit there might be in the theory was not manifested in practice.¹⁰ The hypothesis embraced by the

⁹ RILSA posited: "For all we know, without the ban Rhode Island might rank #1." Thus RILSA offers only rank speculation as a substitute for the obligation to prove that the restriction promoted the State's asserted interest in temperance "to a material degree." Rhode Island would not even speculate, it accused the petitioners of begging the question, as if the burden of proof was on the petitioners instead of the State.

¹⁰ The petitioners are in complete agreement with the position of Amicus Curiae Washington Legal Foundation that

Court of Appeals in lieu of the proof required by *Central Hudson* is also disproved by the findings of governmental agencies that have looked at the relationship between price or advertising and consumption. For example, in 1985, the Federal Trade Commission found "no evidence to believe alcohol advertising significantly affects alcohol abuse." 44 *Liquormart v. Racine*, *supra*, 829 F. Supp. at 546 (App. 24).¹¹ Not only did the State not have evidence of

banning or restricting truthful, non-misleading commercial speech as an indirect means of regulating consumer behavior is incompatible with the First Amendment. Accordingly, for the reasons discussed in that brief, the petitioners believe Rhode Island's price advertising ban violates the second prong of the *Central Hudson* test.

¹¹ In 1964, the Moreland Commission was appointed by the governor of New York to study that State's minimum price requirement for liquor. The Commission flatly concluded that "[t]he argument that high prices promote temperance in that they keep liquor out of the hands of those who should not have it is unfounded." New York State Moreland Commission on the Alcoholic Beverage Control Law, REPORT AND RECOMMENDATIONS NO.3, 17, January 21, 1964. The Commission compared states in which prices were high with states in which prices were low. Annual arrests for drunkenness, drunk driving, rates of alcoholism, and rates of alcohol-related first mental hospital admissions were examined to find no relationship between consumption patterns in the "low" and "high" price states. *Id.* at 18-19. The Commission concluded "artificially high prices for liquor have no substantial relationship to temperance. They serve merely to insure the profit margins of the various segments of the industry." *Id.* at 19. The Moreland Commission Report has been noticed by several courts in ruling on alcoholic beverages related issues. 324 *Liquor Corp. v. Duffy*, 479 U.S. 335, 348, 351 fn.13 (1987), *Michigan Beer & Wine Wholesalers Association v. Attorney General*, 142 Mich. App. 294, 370 N.W.2d 328, 336 (Mich. Ct. App. 1985), *cert. den.* 479 U.S. 939 (1986); *Rice v.*

any material effect on consumption, the petitioners' experts showed that, because there are many intervening variables between price advertising and consumption, such as differences in drinking attitudes and customs, which are the most important determinants of drinking behavior, a direct causal connection cannot be made. 44 *Liquormart, Inc. v. Racine*, *supra*, 829 F. Supp. at 547 (App. 27). Since the State failed to prove that its ban on truthful, non-misleading price advertising had any effect on abusive drinking, the ban does not pass the *Central Hudson* test.

In asserting that "advertising must be generally productive or so much money would not be spent on it" 44 *Liquormart v. Rhode Island*, *supra*, 39 F.3d at 7 (App. 7), the Court of Appeals did not consider two salient facts: expenditures on alcoholic beverage advertising have been steadily increasing, while consumption has been steadily decreasing; and Rhode Island, with its price advertising ban in place for many years, is in the top 30 percent of states in per capita consumption, ahead of some states that do not ban price advertising. 44 *Liquormart v. Racine*, *supra*, 829 F. Supp. at 546 (App. 23). Furthermore, any presumed effect of advertising in general on consumption is not relevant to the effect of a price ban, because Rhode Island permits all other forms of advertising. Thus, the State does not seek to reduce whatever effect advertising in general might have on consumption.

The fallacious assumption that advertisers would not spend money on advertising unless it generated increased consumption underlies several of the few cases

Alcoholic Beverage Control Appeals Bd., 21 Cal. 3d 431, 457 (1978); *Joseph E. Seagram & Sons v. Hostetter*, 16 N.Y.2d 47, 209 N.E.2d 701 (1965).

upholding advertising bans. Those courts did not appreciate the fact that advertising influences a person who has already decided to buy an alcoholic beverage in choosing which brand to buy. In a "mature market," such as the market for alcoholic beverages, the purpose and effect of a particular company's advertising is to encourage consumers to choose that brand, or in the case of price advertising, which store to buy it in, not to increase general consumption of the generic product. M. J. Waterson, *ADVERTISING BRANDS AND MARKETS*, 19 (Advertising Ass'n Monograph, 2nd ed. 1985). If advertising takes a customer away from a competitor's product it is money well spent, although it does not increase overall consumption by so much as one bottle. Retailers like the petitioners want to advertise their prices to increase their share of the market of those who have already decided to consume, but not selected where they will acquire the product. 44 *Liquormart v. Racine*, *supra*, 829 F. Supp. at 549 (App. 30).

Beyond the fact that the State could not prove a substantial relationship between its price advertising ban and its asserted goal of preventing alcohol abuse, the price advertising ban is, at best, only theoretically, indirectly, related to its goal, another reason why it does not satisfy the third part of the *Central Hudson* test. As the Court noted in *Central Hudson*, "in recent years this Court has not approved a blanket ban on commercial speech *unless the expression itself was flawed in some way, either because it was deceptive or related to unlawful activity*" 447 U.S. at 566, n.9 [emphasis added].

In this case, the State's argument manifests the indirect nature of the price advertising ban's purported effect

on abusive consumption. Rhode Island does not argue, and certainly has not proven, that truthful, non-misleading price advertising stimulates consumption. Price advertising inherently only informs the public of the price at which the advertiser is offering a particular alcoholic beverages item for sale. This Court has identified truthful, non-misleading price advertising as a form of speech protected by the First Amendment because it is "indispensable" to the proper functioning of our free enterprise system. *Rubin v. Coors Brewing Co.*, *supra*, 115 S. Ct. at 1589, quoting *Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, *supra*.

Under the State's attenuated reasoning, price advertising may stimulate "price wars" which the State believes might lower a theoretical "artificial price floor" that may result from the public's ignorance of retail prices. In fact, Rhode Island's regulation is not aimed at alcohol abuse at all. It is aimed at eliminating a retailer's need to protect its market share by meeting a competitor's lower prices.¹² That process is the essence of the "numerous private decisions that drive the [free enterprise] system." *Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, *supra*. It is manifestly in the public interest that our economic system function in precisely that way. Therefore, it is highly unlikely that the Rhode Island legislature would have the political will to mount a frontal assault on the free enterprise system by

¹² Accordingly, Rhode Island must admit that an objective of its price advertising ban is to reduce competition among retailers, a goal that has never been found to justify banning truthful, non-misleading price advertising.

fixing minimum prices. Instead, Rhode Island has covertly resorted to an unproven,¹³ indirect method of price control, with no demonstrable effect on consumption (but a clear effect on the profit margin of RILSA members), that violates the protection accorded truthful, non-misleading price advertising by the First Amendment, announced by this Court in *Virginia State Bd. of Pharmacy v. Virginia Citizens Consumer Council, Inc.*, *supra*.

C. Rhode Island's Ban On Advertising The Price At Which Retailers Sell Alcoholic Beverages Is More Extensive Than Necessary To Serve The State's Asserted Interest In Reducing Abuse Of Alcoholic Beverages.

The final part of the *Central Hudson* test requires the State to demonstrate that its restriction on commercial speech is "not more extensive than is necessary to serve" the State's asserted interest. 447 U.S. at 566; *Edenfield v. Fane*, *supra*; *Ibanez*, *supra*; *Rubin v. Coors Brewing Co.*, *supra*. The test is articulated as requiring the proponent of a restriction on commercial speech to prove a reasonable "'fit' between the legislature's ends and the means chosen to accomplish those ends." *Board of Trustees of State Univ. of New York v. Fox*, 492 U.S. 469, 480 (1989). Although the opinion in *Fox* was clear that the "reasonable fit" test was "*far different*, of course, from the 'rational basis' test," *Id.* [emphasis added], the Court has been

¹³ The State's expert was not familiar with consumption figures for Rhode Island (R. Saffer Tr. 43), did not know what effect the price advertising ban had on Rhode Island prices (R. Saffer Tr. 45-46), and was unaware if there was a price differential between Rhode Island and Massachusetts (R. Saffer Tr. 49).

required to reiterate that a rational basis test, as advanced by the State, 44 *Liquormart v. Racine*, 829 F. Supp. at 553-554 (App. 43), and adopted by the Court of Appeals below, is *not* to be applied when deciding the constitutionality of restrictions on commercial speech.¹⁴

[W]hile we have rejected the "least-restrictive-means" test for judging restrictions on commercial speech, so too have *we rejected mere rational basis review*. A regulation need not be "absolutely the least severe that will achieve the desired end," *Fox, supra*, 492 U.S., at 480, 109 S. Ct., at 3035, but if there are numerous and obvious less-burdensome alternatives to the restriction on commercial speech, that is certainly a relevant consideration in determining whether the "fit" between ends and means is reasonable. *City of Cincinnati v. Discovery Network, Inc., supra*, 113 S. Ct. 1510, fn.13 [emphasis added].

Thus, as made clear in *Discovery Network*, and recently reiterated in *Rubin v. Coors Brewing Co., supra*, the availability of obvious alternatives to restricting commercial speech demonstrates that the state has not met its burden under the fourth part of the *Central Hudson* analysis. As was conceded by the State's expert, creating an artificial price floor is a result Rhode Island could directly accomplish without banning constitutionally protected speech by mandating minimum consumer prices or increasing its tax on alcoholic beverages. 44 *Liquormart v.*

¹⁴ The Appeals Court echoed the rational basis test when it held that the State need not prove the "correctness" of its position, only its "reasonableness." 44 *Liquormart v. State of Rhode Island*, 39 F.3d at 7 (App. 6).

Racine, supra, 829 F. Supp. at 549 (App. 30). Since the State could fully accomplish its asserted goal without restricting protected speech at all, *i.e.*, in a manner obviously less-burdensome to free expression, it is self-evident that its ban on price advertising is more extensive than is necessary.

The Court of Appeals' decision characterizes covert manipulation of the free enterprise system as a "reasonable choice" when Rhode Island could fully accomplish its true objective of maintaining an artificial price floor for alcoholic beverages without any restriction on speech at all. However, this Court demands that a state seeking to prohibit the conveying of information do so only in furtherance of a substantial goal, only after the cost has been "carefully calculated" and only after the state meets its burden to "*affirmatively establish the reasonable fit*" between its means and its goal. *Edenfield v. Fane, supra*; *Rubin v. Coors Brewing Co., supra*. The State has not done so in this case.

D. Rhode Island May Not Ban Truthful, Non-Misleading Price Advertising By Out-Of-State Retailers Of Alcoholic Beverages.

In the case of its prohibition against newspapers and other communications media accepting out-of-state price advertisements, Rhode Island bans constitutionally-protected speech that not only occurs off licensed premises, but concerns the sale of products outside its jurisdiction. Contrary to the decision of the Court of Appeals, 44 *Liquor Mart, Inc. v. State of Rhode Island, supra*, 39 F.3d at 9 (App. 10-12), this Court has flatly held that a state may

not justify its out-of-state advertising ban on the alleged ground that it is attempting to protect its citizens from exposure to truthful information about legal products or services in another state.

A State does not acquire power or supervision over the internal affairs of another State merely because the welfare and health of its own citizens may be affected when they travel to that State. It may seek to disseminate information so as to enable its citizens to make better informed decisions when they leave but *it may not, under the guise of exercising internal police powers, bar a citizen of another State from disseminating information about an activity that is legal in that State.* *Bigelow v. Virginia*, 421 U.S. 809, 824-825 (1975) [emphasis added].

The Court of Appeals attempted to justify Rhode Island's ban on price advertising by out-of-state retailers with the *non sequitur* "if a party wishes to come into a state and do business, to some extent at least, it should be subject to the same regulations as are its local counterparts." 44 *Liquormart, Inc. v. State of Rhode Island*, *supra*, 39 F.3d at 9 (App. 10-11). In the context of speech regulation, however, this aphorism not only sanctions "economic protectionism" as a legitimate reason for banning out-of-state price information, but also fails the *Central Hudson* test.

Despite the suggestion of the Court of Appeals that the petitioners relied upon the Commerce Clause, 44 *Liquormart, Inc. v. State of Rhode Island*, *supra*, 39 F.3d at 9 (App. 10-12), the Court of Appeals misperceived our argument, which was and is squarely based upon the First Amendment. Under *Central Hudson*, a state must

justify regulating commercial speech by proving how its regulation will alleviate real harms in that state to a material degree.

Although the Court of Appeals made an issue of finding petitioners' claims under the Commerce Clause waived, it missed the point that *Bigelow v. Virginia, supra*, determined that a state's interest in "shielding its citizens from information about activities outside [its] borders" is ordinarily "entitled to little, if any, weight" in deciding whether an out-of-state advertisement is to be divested of its First Amendment protection. 421 U.S. at 828. Because Rhode Island's only plausible objective in regulating out-of-state price advertising is illegitimate, its ban on truthful, non-misleading price advertising is forbidden by the First Amendment.

E. The Twenty-first Amendment Does Not Give An Added Presumption Of Validity To A Ban On Truthful, Non-Misleading Price Advertising Of Alcoholic Beverages.

The Court of Appeals thought it "precisely in order" to give Rhode Island's ban on truthful, non-misleading price advertising an "added presumption of validity" because of the Twenty-first Amendment, based upon the Court's use of that phrase in *California v. LaRue*, 409 U.S. 109, 118-119 (1972). 44 *Liquormart, Inc. v. State of Rhode Island, supra*, 39 F.3d at 8 (App. 8). The effect of the "added presumption" was to eliminate the State's burden under *Central Hudson* to prove the validity of its price advertising ban, and to put a requirement on the petitioners of overcoming the presumption by proving the

ban invalid. The "added presumption" rationale for disregarding the requirements of the *Central Hudson* test was expressly rejected by the Court in *Rubin v. Coors Brewing Co.*, *supra*, 115 S. Ct. at 1590, n.2, on the ground that "*LaRue* did not involve commercial speech about alcohol, but instead concerned the regulation of nude dancing in places where alcohol was served."¹⁵ This case should be the occasion where the Court makes it plain that the Twenty-first Amendment repealed only the Eighteenth Amendment and no part of the First Amendment.

The Twenty-first Amendment was intended to create an exception to the normal operation of the Commerce Clause by permitting states to impose burdens on interstate commerce that otherwise would be invalid.¹⁶ "Neither the text nor the history of the Twenty-first Amendment suggests that it qualifies individual rights protected by the Bill of Rights and the Fourteenth Amendment where the sale or use of liquor is concerned." *Craig v. Boren*, 429 U.S. 190, 205-206 (1976). The

¹⁵ Thus Justice Stevens' apprehension that *LaRue* would become authority for the proposition that "the Twenty-first Amendment repealed not only the Eighteenth Amendment, but some undefined portion of the First Amendment as well," *City of Newport, Kentucky v. Iacobucci*, 479 U.S. 92, 103 (1986) [dissenting opinion], has been, at last, allayed.

¹⁶ The Brief of Amici Curiae, The Beer Institute, the Distilled Spirits Council of the United States and the Wine Institute In Support of Petitioners reviews the language and legislative history of the Twenty-first Amendment and its relationship to state exercise of police power over alcoholic beverages. The Amici conclude that the Twenty-first Amendment provides no support for any diminution of the protection accorded commercial speech by the First Amendment.

Court has consistently rejected states' attempts to rely upon the Twenty-first Amendment as a justification for abrogating other constitutional provisions. *See, Dept. of Revenue v. James B. Beam Distilling Co.*, 377 U.S. 341 (1964) [states may not tax alcoholic beverages in violation of the Import-Export Clause]; *Wisconsin v. Constantineau*, 400 U.S. 433, 436 (1971) [a statute that required the posting of names of excessive drinkers in retail liquor outlets violated due process]; *Craig v. Boren, supra* [a statute that prohibited the sale of beer to men under twenty-one and women under eighteen violated equal protection]; *South Dakota v. Dole*, 483 U.S. 203 (1987) [federal statute conditioning receipt of highway funds on adoption of minimum drinking age is a valid exercise of Congress' spending power].

Significantly, the Court has found many circumstances under which the Twenty-first Amendment does not supplant even its core concern, the Commerce Clause. *California Retail Liquor Dealer's Ass'n v. Midcal Aluminum, Inc.*, 445 U.S. 97 (1980) [the states' power to regulate alcoholic beverages traffic is subject to federal anti-trust laws]; *Bacchus Imports, Ltd. v. Dias, supra*, ["economic protectionism" of local alcoholic beverages violates the Commerce Clause]; *Brown-Forman Distillers Corporation v. New York State Liquor Authority*, 476 U.S. 573 (1986) [state regulation of alcoholic beverages prices is invalid under the Commerce Clause when it affects prices in other states]; *324 Liquor Corp. v. Duffy*, 479 U.S. 335 (1987) [a mandatory 112 percent minimum markup on alcoholic beverages based on the wholesale price violates antitrust laws]; *Healy v. The Beer Institute*, 491 U.S. 324 (1989) [state regulation of alcoholic beverages prices is invalid under

the Commerce Clause when it affects prices in other states].

In *Capital Cities Cable, Inc. v. Crisp*, 467 U.S. 691, 715 (1984), the Court ruled that notwithstanding the Twenty-first Amendment, the states' power to regulate alcoholic beverages advertising could be preempted solely by a federal statute passed under the Commerce Clause. The Court did not give state law any added presumption of validity because of the Twenty-first Amendment.

The Court did not have to decide whether the Twenty-first Amendment had any effect on First Amendment rights in *Crisp*. However, in *Larkin v. Grendel's Den, Inc.*, 459 U.S. 116 (1982), the Court decided that the First Amendment prevented a state from giving churches a veto over the issuance of liquor licenses within 500 feet of them. No added presumption of constitutionality was accorded the state because of the Twenty-first Amendment. "The State may not exercise its power under the 21st Amendment in a way which impinges upon the Establishment Clause of the First Amendment." 459 U.S. at 122 n.5.

There is no principled basis to afford greater protection to the interests safeguarded by the Establishment Clause than the Free Speech Clause.¹⁷ Thus, the Court of Appeals' use of an "added presumption" of constitutionality to shift the burden to the petitioners to prove the

¹⁷ This is not to say that the Free Speech Clause and the Establishment Clause operate in an identical fashion. See, *Lee v. Weisman*, 505 U.S. 577, 112 S. Ct. 2649, 2647 (1992), however, the Court has not recognized a hierarchy in the clauses whereby one is entitled to more weight than the other.

invalidity of the price advertising ban under the First Amendment cannot be reconciled with the fact that no such exception appears in the application of other constitutional provisions, including the Commerce Clause and the Establishment Clause of the First Amendment, to the regulation of alcoholic beverages.

California v. LaRue and the later cases of *Doran v. Salem Inn, Inc.*, 422 U.S. 922, (1975) and *New York State Liquor Authority v. Bellanca*, 452 U.S. 714 (1981), should remain limited to their peculiar circumstances. In those cases, the Court upheld under the Twenty-first Amendment the states' power to ban nude dancing on licensed premises because it was upholding a licensing provision rather than a regulation of communication. *Rubin v. Coors Brewing Co.*, *supra*.

In *LaRue* . . . we concluded that the broad powers of the States to regulate the sale of liquor, conferred by the Twenty-first Amendment, outweighed any First Amendment interest in nude dancing and that a State could therefore ban such dancing as a part of its liquor license program. *Doran v. Salem Inn, Inc.*, *supra*, 422 U.S. at 932-933.

While certain nude dancing may have some communicative aspect, the nude dancing in *LaRue* had a proven risk of provoking or facilitating illegal activity on the licensed premises. The Court's opinion graphically described "numerous incidents of legitimate concern:"

Customers were found engaging in oral copulation with women entertainers; customers engaged in public masturbation; and customers placed rolled currency either directly into the

vagina of a female entertainer, or on the bar in order that she might pick it up herself. Numerous other forms of contact between the mouths of male customers and the vaginal areas of female performers were reported to have occurred. Prostitution occurred in and around such licensed premises, and involved some of the female dancers. Indecent exposure to young girls, attempted rape, rape itself, and assaults on police officers took place on or immediately adjacent to such premises. 409 U.S. at 111.

This Court has never held that the Twenty-first Amendment would justify a state ban on pure speech. To the contrary, the Court minimized the communicative aspect of the performances by describing them as "gross sexuality." 409 U.S. at 118. Plainly, the Court was concerned with the conduct rather than communication in *LaRue*.

[A]s the mode of expression moves from the printed page to the commission of public acts that may themselves violate valid penal statutes, the scope of permissible state regulations significantly increases. States may sometimes proscribe expression that is directed to the accomplishment of an end that the State has declared to be illegal when such expression consists, in part, of "conduct" or "action." 409 U.S. at 117.

In contrast here, Rhode Island is attempting to ban speech that occurs off the licensed premises, which is entitled to First Amendment protection under the *Central*

Hudson test.¹⁸ The Twenty-first Amendment does not alter the equation. The states' power to regulate commercial speech is subject to "the same First Amendment Restrictions that apply to the Federal Government," not less. *Rubin v. Coors Brewing Co.*, *supra*, 115 S. Ct. at 1591.

Conclusion

For the foregoing reasons, the petitioners respectfully submit that the judgment of the Court of Appeals should be reversed.

By their attorney,
EVAN T. LAWSON
LAWSON & WEITZEN
425 Summer Street
Boston, Ma. 02210
(617) 439-4990

¹⁸ In the case of Peoples' advertisements, it is truthful, non-misleading speech about activity in another state and therefore plainly beyond the scope of the Twenty-first Amendment.

App. 1

Statutory Addendum

R.I.G.L. § 3-8-7 controls price advertising by licensees.

No manufacturer, wholesaler, or shipper from without this state and *no holder of a license issued under the provisions of this title and chapter shall cause or permit the advertising in any manner whatsoever of the price of any malt beverage, cordials, wine or distilled liquor offered for sale in this state;* provided, however, that the provisions of this section shall not apply to price signs or tags attached to or placed on merchandise for sale within the licensed premises in accordance with rules and regulations of the department [emphasis added].

R.I.G.L. § 3-8-8.1 controls the acceptance of price advertising by the communications media.

No newspaper, periodical, radio or television broadcaster or broadcasting company or any other person, firm or corporation with a principal place of business in the state of Rhode Island which is engaged in the business of advertising or selling advertising time or space shall accept, publish, or broadcast any advertisement in this state of the price or make reference to the price of any alcoholic beverages. Any person who shall violate any of the provisions of this section shall be guilty of a misdemeanor and shall be punished for the first offense by a fine in the sum of fifty dollars (\$50.00) and for each additional offense thereafter by a fine not exceeding the sum of one hundred dollars (\$100). Publication or broadcast by any person in violation of the provisions of this section shall also be subject to injunctive proceedings in a court of competent jurisdiction on a complaint

App. 2

brought by a retail licensee, or an association of retail licensees.

The provisions of this section shall not apply to any trade journal which is duly recognized and authorized to be exempt from the provisions of this section by the liquor control administrator [emphasis added].

R.I.G.L. § 3-8-8 is the statutory basis for the authority of the liquor control administrator to promulgate regulations.

The liquor control administrator is hereby authorized to promulgate rules which will enforce the provisions of § 3-8-7 and he shall have the power to suspend the license of any license-holder in violation thereof.

Regulation 32 of the Liquor Control Administrator was enacted to "enforce" the provisions of § 3-8-7.

No placard or sign of any kind which is visible from the exterior of any Class A premises licensed to sell at retail shall make reference to the price of any alcoholic beverage or mixture of alcoholic beverages.
